

We must check these ratios over time, so as to judge how the debt to equity ratio has changed over time.

Focus on the current figures and the past trends.
How is the debt to equity changing for the company?

KEY FINANCIAL RATIOS OF APAR INDUSTRIES (in Rs. Cr.)					
	MAR 22	MAR 21	MAR 20	MAR 19	MAR 18
PROFITABILITY RATIOS					
PBDIT Margin (%)	6.22	6.85	6.48	6.06	7.19
PBIT Margin (%)	5.17	5.38	5.32	5.22	6.23
PBT Margin (%)	3.66	3.26	2.27	2.71	3.82
Net Profit Margin (%)	2.75	2.51	1.81	1.70	2.48
NP After MI And SOA Margin (%)	2.75	2.51	1.81	1.70	2.48
Return on Networth/Equity (%)	14.96	11.38	11.58	11.31	13.06
Return on Capital Employed (%)	23.65	20.39	27.91	30.10	27.64
Return on Assets (%)	3.88	3.20	2.90	2.70	3.38
Total Debt/Equity (X)	0.15	0.15	0.24	0.18	0.30
Asset Turnover Ratio (%)	141.05	127.53	160.33	158.59	136.07

Source: Apar Industries Ltd - FY 21

Here, we can say that the trend for Apar Industries is quite stable and the company is doing well in terms of solvency!

Therefore, we can say that it is on an upward trend, and it is possible that it might even increase further.

2. Liquidity Ratio

Liquidity refers to the ability to pay off current liabilities (short-term liabilities), with current assets (short-term assets). In solvency we were evaluating the structural strength of finances, here we are concerned about the day to day working of the company.

“Current assets are the assets that are convertible into cash within a year.
Current liabilities are the liabilities that are to be paid in cash within a year.”

Formula: **Current Assets /**
Current Liabilities

Now when we look at the balance sheet of Apar industries we get:

$$\text{Current Ratio} = \text{Rs. 4042 Cr.} / \text{Rs. 3320 Cr.} \\ = 1.2 \text{ Times}$$

Here we observe that the current assets are 1.2 times the current liabilities of Apar Industries. In short, the company is reasonably liquid as well as solvent.